

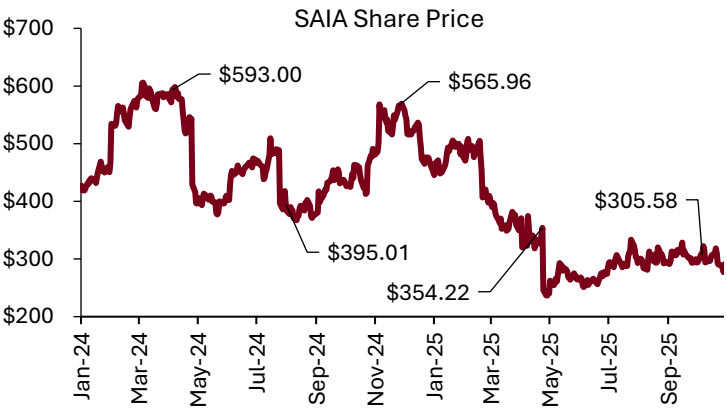
Investment Thesis:

When others crumble, SAIA rumbles — steady hands, quiet strength

The LTL industry has endured a volatile year marked by declining tonnage, inflationary cost pressures, and margin compression. Amid this backdrop, SAIA has remained resilient, sustaining modest growth in tonnage and revenue per hundredweight while maintaining focus on cost optimization.

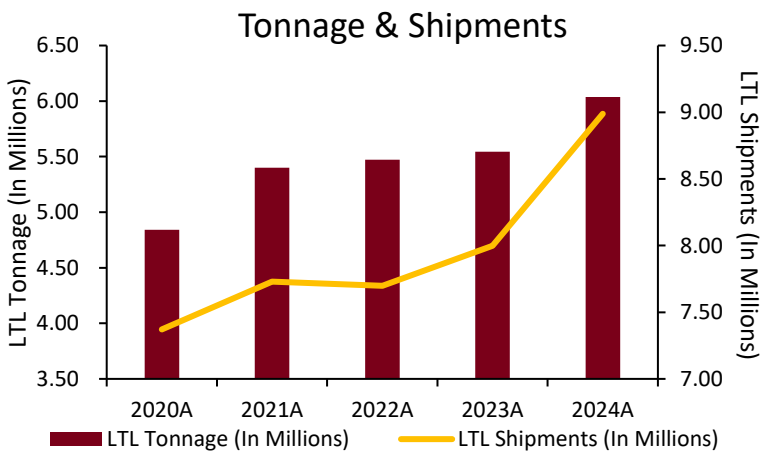
As the freight cycle approaches a trough, SAIA stands out as a must-buy name for investors seeking exposure to the trucking industry’s coming recovery for the following three reasons:

- 1. The stock trades about one standard deviation below its 2-year fwd. EV/EBITDA and at a ~4% discounted fwd. P/E compared to the median of its peers (ODFL, XPO, ARCB) offering a compelling re-entry point.
- 2. Tonnage and shipment growth continue to outpace peers despite weak demand. While SAIA’s now fully national network carries higher fixed costs during the downturn, recent cost and linehaul optimization efforts point to meaningful margin improvement as volumes rebound.
- 3. Though FY26 will remain subdued, I expect a gradual rebound in the latter 2H26 as macro stability returns and tariff uncertainty fades, paving the way for volume and pricing improvement into FY27.



Price	\$282
Price Target (+12Month)	\$378
Market Cap.	\$7.3B
52W High-Low	\$587-\$229
Price-to-Earnings (P/E)	25.8x
Model	Link
Previous Version	Link

Business Description:



SAIA is a less-than-truckload (LTL) service provider and one of the Top 10 LTL carriers in the U.S., with revenue of \$3.2 billion in FY2024 (a 12% CAGR over the last five years). It operates a network of 214 terminals across 48 states. With over 15,000 employees, 97% of its revenue comes from LTL services, while the remaining 3% comes from value-added services.

The company achieved an operating ratio of 84.8% in FY2024, down by 660 basis points since 2019, demonstrating significant improvements in its operating efficiency, with more to come.

Tonnage, an important metric, has grown by over 2 million, and revenue per shipment has increased by over \$110 in the last five years. Historically, debt has accounted for about 5% to 2% of the capital structure¹. In FY2024, SAIA finished a \$1 billion CAPEX plan to strategically relocate some existing terminals, open 21 new terminals, and invest in revenue equipment.

¹The weight of debt is relative to enterprise value, and debt includes both operating and financing leases.

Recommendation: Buy

Price Target: \$378

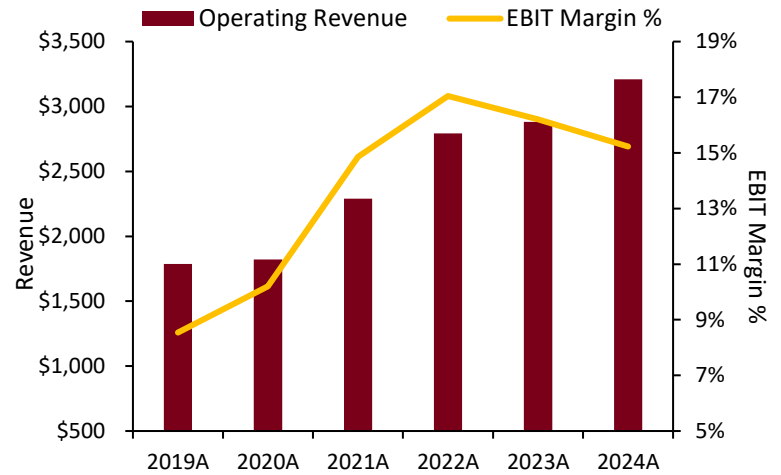
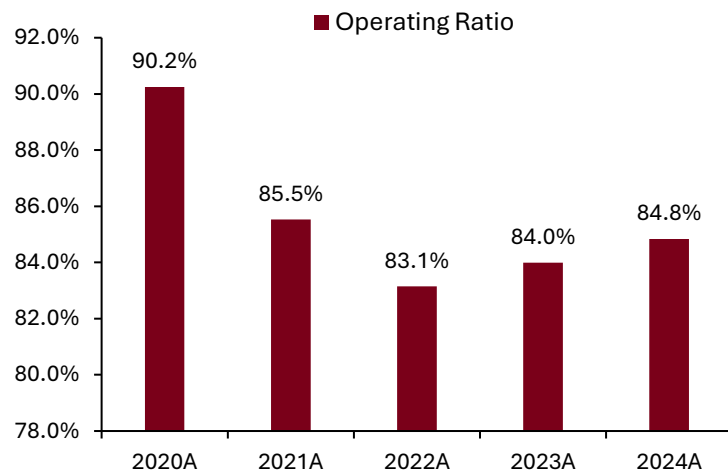
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NASDAQ: SAIA

November 05, 2025

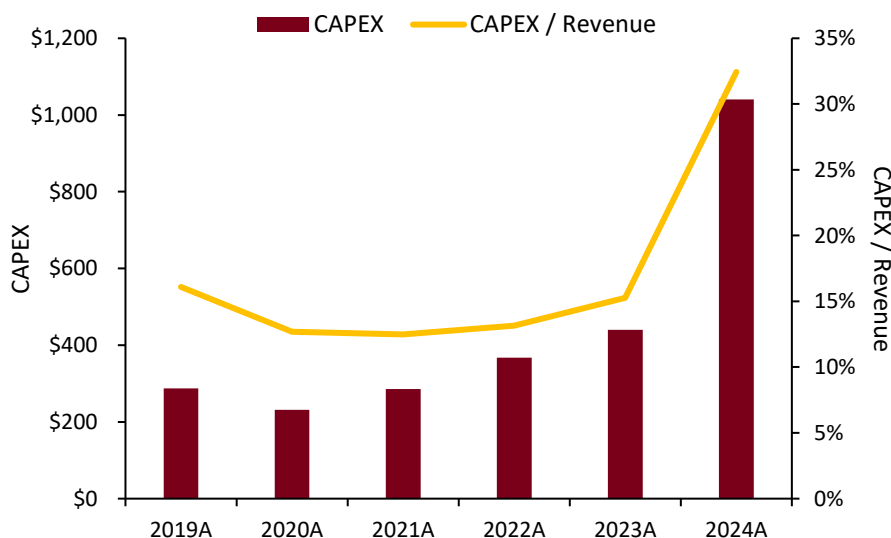


Financial Analysis:

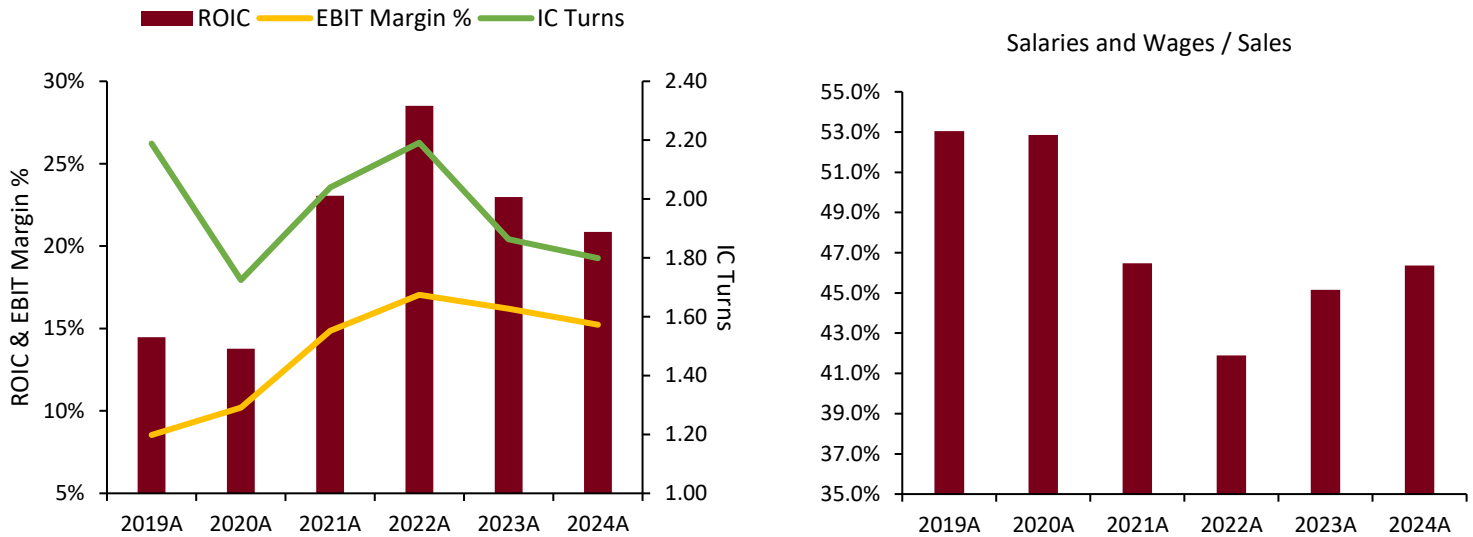
In 2017, SAIA began a significant network expansion, increasing its terminal count from 151 to 214 between 2017 and 2024. This expansion resulted in an operating revenue growth of \$1.8B over those seven years, implying a CAGR of 12.5%. The main drivers of revenue were growth in tonnage and revenue per shipment, coupled with customers becoming more aware of SAIA's broader network footprint.

In addition to the revenue growth, operating margins were significantly improved, leading to an improved operating ratio. This improvement was primarily driven by higher revenue per employee, which reduced salaries and wages as a percentage of sales by 820BPS since 2017 to 46.2% in FY2024. Furthermore, enhanced shipment handling results in decreased claims and insurance costs. Additionally, there was a reduction in purchased transportation costs due to the broader network footprint. These factors combined resulted in an EBIT margin improvement of 850 BPS from 2017 to 2024.

Over these seven years, SAIA invested ~\$3B in CAPEX, of which 1/3 was invested in FY 2024. As a result, the company's IC turns started to improve. However, there was a slight deterioration in 2023 and 2024, primarily driven by higher CAPEX as a percentage of revenue and disruptions in the freight industry following the bankruptcy of one of the largest LTL service providers, Yellow.



This led to more customers moving to other LTL service providers that better met their cost/service needs—a trend that is still ongoing. The disruption in the freight industry also changed SAIA's freight mix, creating short-term margin headwinds that impacted ROIC in FY 2023 and 2024. However, a general rate increase created a tailwind for IC Turns in 2023. All this combined resulted in increased ROIC, demonstrating resilience in the face of macro and microeconomic headwinds, showcasing SAIA's ability to adapt and thrive during uncertain times.



FY 2025 Analysis:

2025 has been a volatile year for SAIA and the broader LTL industry. The year began with a modest increase in tonnage and Rev/Cwt, while a challenging cost environment pressured operating performance. Elevated headcount, wage inflation, fuel prices, and purchased transportation costs drove a ~400 bps deterioration in OR on a QoQ basis (Q4 to Q1).

Following the Q1 decline, management intensified cost-optimization initiatives, resulting in approximately 340 bps and 20 bps improvements in OR during Q2 and Q3, sequentially. However, tonnage and pricing growth showed improvement followed by moderation, painting a mixed picture and leading to year-over-year revenue declines of 0.7% in Q2 and 0.3% in Q3. SAIA also continued its hefty capital deployment during the year, investing \$468M during the first nine months of 2025 and an estimated full-year CAPEX of ~\$611M. While these investments strengthen long-term network capacity, they will weigh on IC turns in the near term. As a result of the aforementioned pressures on EBIT/OR and IC turns, ROIC is expected to decline to ~9.6%

Industry Analysis:

The LTL freight industry continues to navigate a sluggish macro backdrop characterized by muted industrial production, weak ISM PMI readings, and soft freight expenditures, all signaling a cooling manufacturing economy. Tonnage and revenue per shipment have trended lower, creating pricing pressure and margin headwinds across carriers.

From 2015 through 2019, fluctuations in oil prices and supply–demand dynamics weighed on industrial production but had a limited impact on tonnage, as retail demand and manufacturing output remained resilient. The abysmal pandemic-era shock then triggered a sharp downturn followed by a robust rebound through late 2021, fueled by restocking and recovery from supply-chain bottlenecks. The inflationary environment, coupled with margin pressures on many retailers, led companies to prioritize cost control and inventory optimization, resulting in a modest buildup of buffer stock and a shift towards just-in-time inventory management, as seen in the structural shift in the inventory-to-sales ratio series.

Recommendation: Buy

Price Target: \$378

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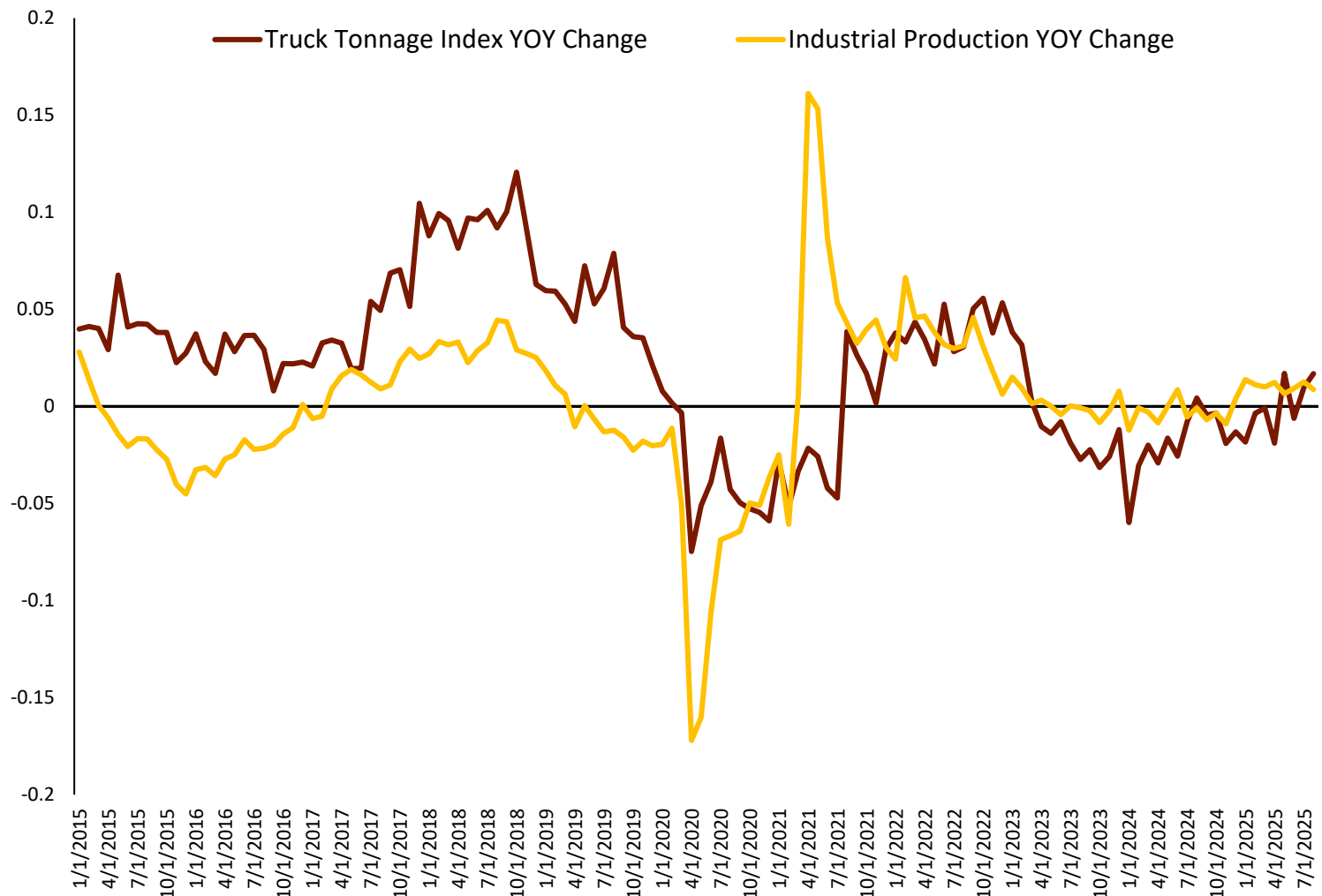
NASDAQ: SAIA

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Entering 2023–2024, inflation proved stickier than expected, and consumer sentiment weakened. The bankruptcy of Yellow Corporation, one of the industry’s largest LTL carrier, set off intense competition among surviving carriers to capture freight and terminal assets. This realignment—occurring while most carriers were flush with post-pandemic cash—created short-term pricing pressure and disrupted freight mix. At the same time, the broader industrial economy slipped into a dormant phase, with ISM PMI contracting and industrial production flattening.

By late 2024, tonnage trends began to stabilize as inflation eased and sentiment improved, though the integration of Yellow’s freight and terminals in the industry remained uneven. Heading into FY 2025, renewed geopolitical uncertainty and evolving tariff policy once again dampened demand, pressuring tonnage, expenditures, and overall freight activity.

Looking ahead, pricing pressure is likely to intensify, but carriers are expected to maintain pricing discipline through measured general rate increases. I anticipate softer volumes through most of 2026, with recovery gaining traction in the second half of 2026 and continuing into 2027, supported by a stabilizing industrial economy and improved freight mix.



Recommendation: Buy

Price Target: \$378

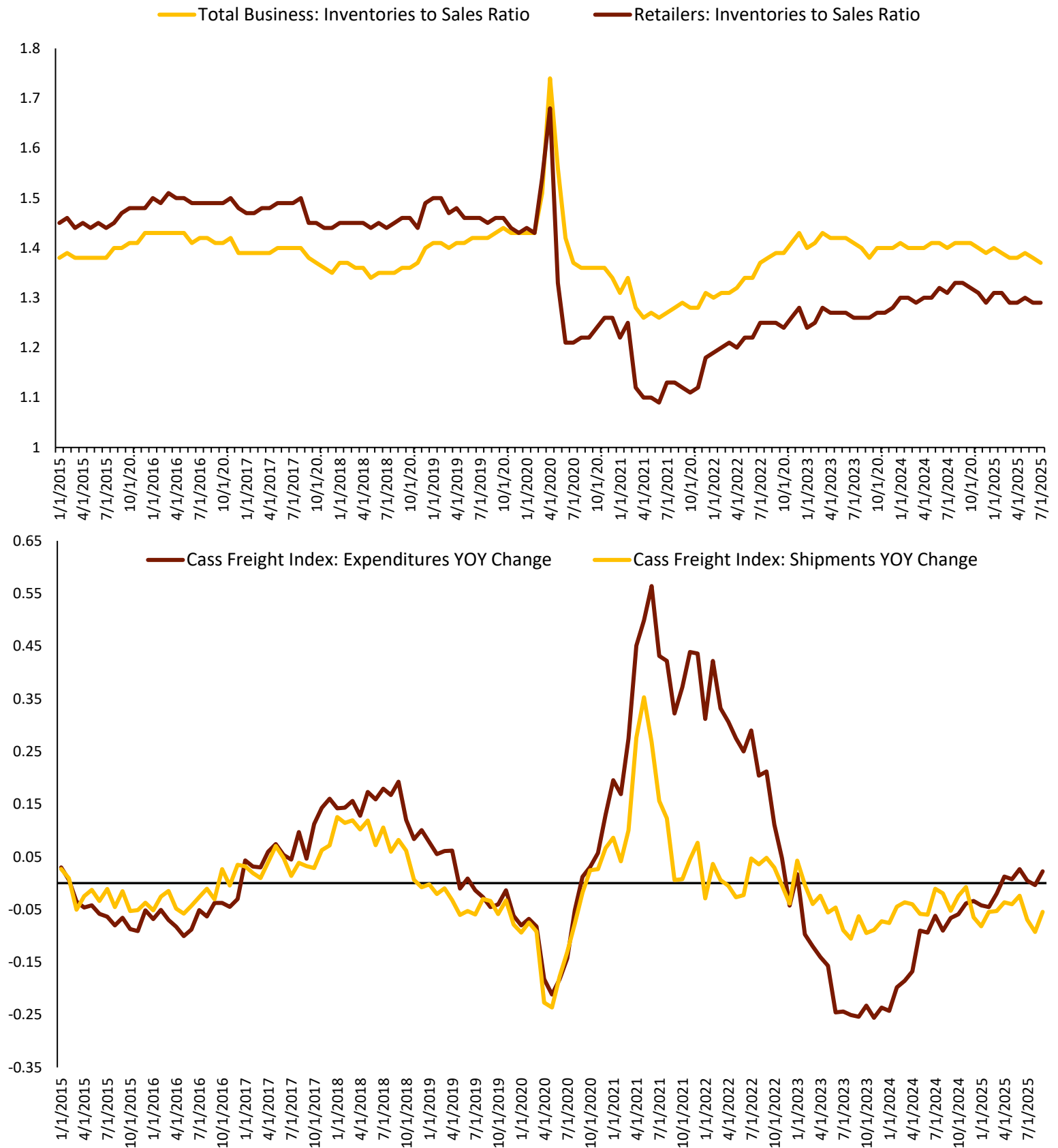
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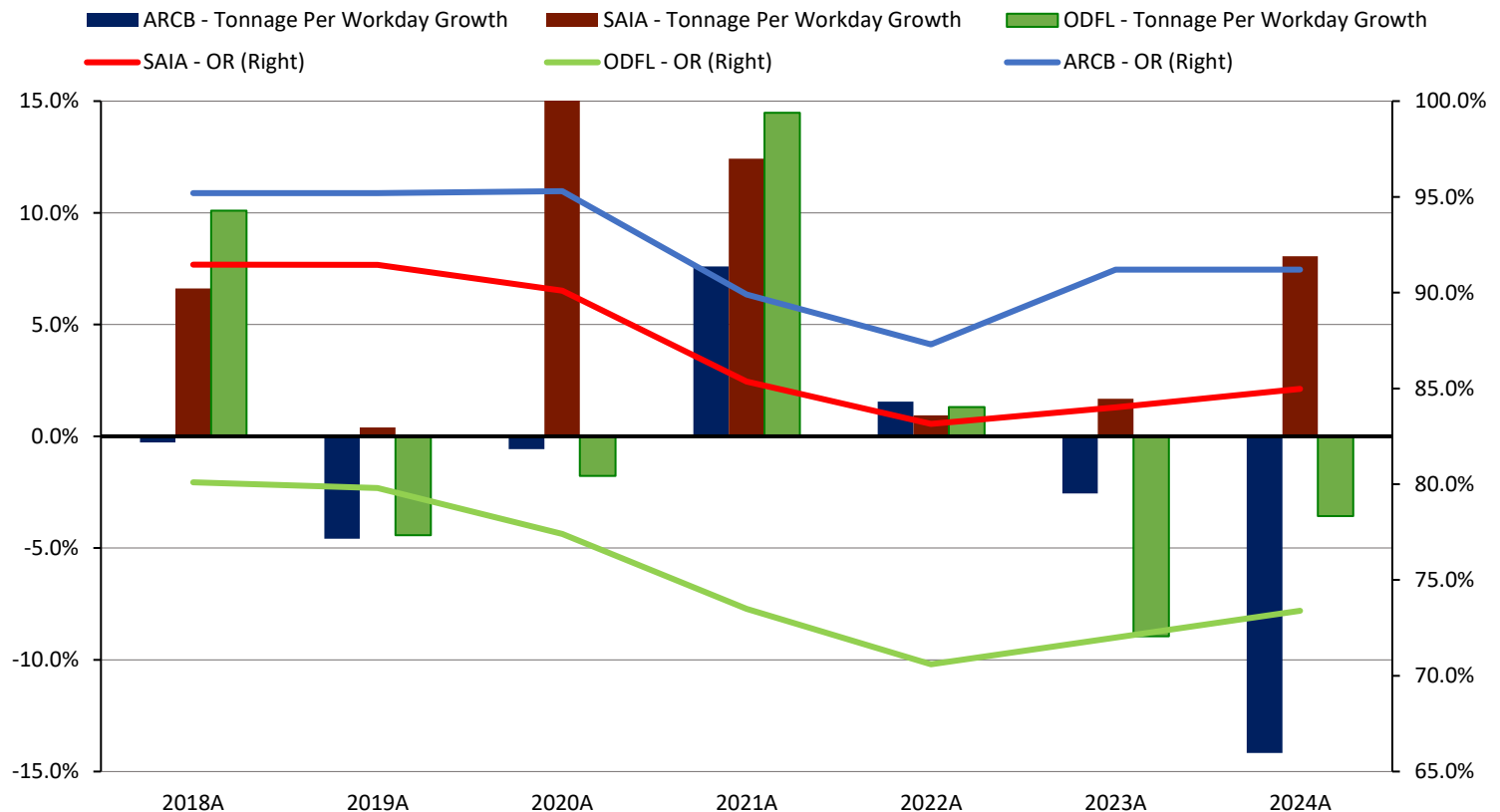
Valuation Analysis:

With hefty CAPEX investments in 2024 and 2025, SAIA is well positioned to capture market share and enhance service quality, reinforcing its standing as one of the most competitive players in the LTL industry. While these investments were undertaken during an inflationary environment and a period of elevated employee-related costs driven by increased headcount, they have created near-term margin headwinds. However, they are expected to drive healthy growth in tonnage, revenue per shipment, and improvement in OR as the company manages its cost structure more efficiently.

Historically, SAIA's tonnage growth has remained resilient despite a sluggish macro backdrop. Although margin pressures persist, management's cost discipline and strategic network expansion continue to support long-term competitiveness. Compared to peers, ODFL and ARCB, SAIA's historical volume and margin growth have outpaced competitors, though ODFL remains best in class from an operational standpoint. The prospects for further operating efficiency improvements remain compelling for SAIA.

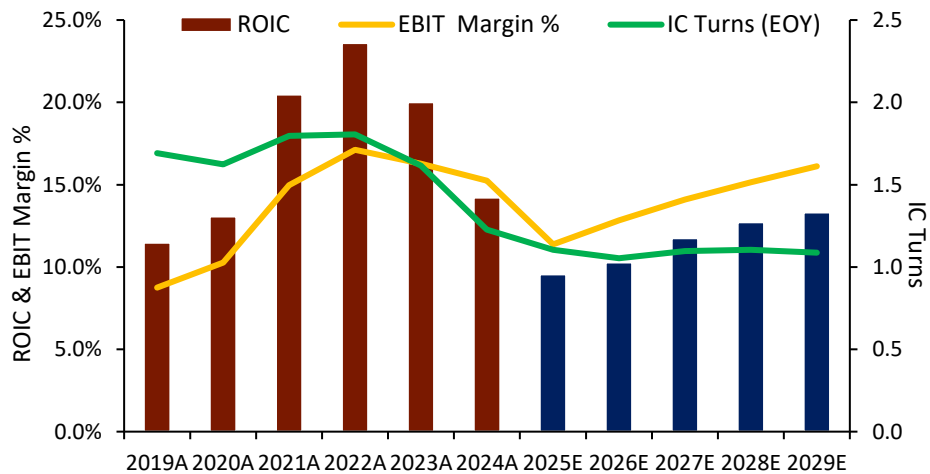
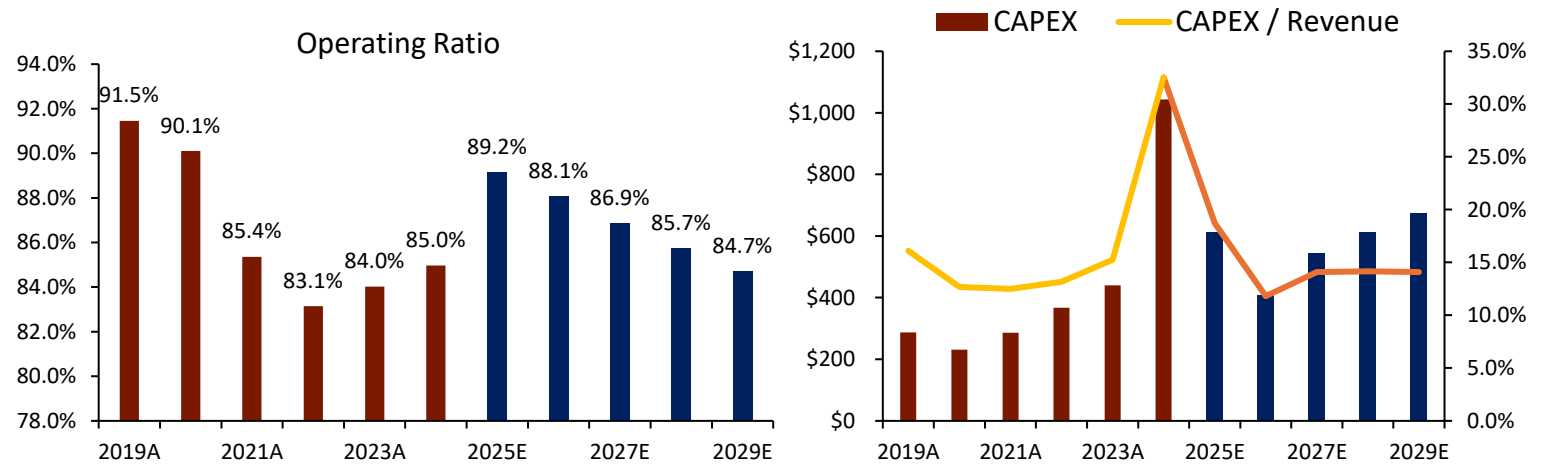
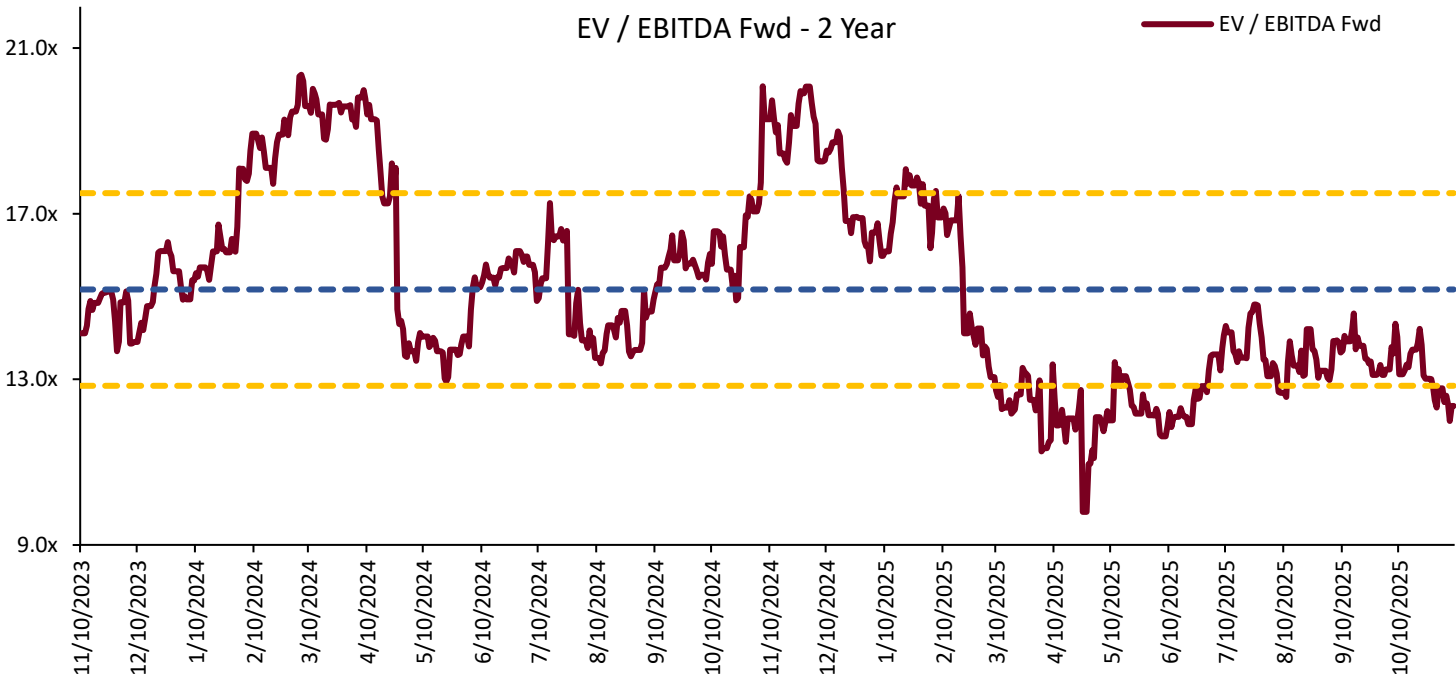
Given SAIA's historical growth profile, the stock currently trades about one standard deviation below its 2-year forward EV/EBITDA averages and at a ~4% forward P/E discount to the peer median (ARCB, ODFL, and XPO). This relative discount makes the valuation increasingly attractive, as the company's growth and margin improvement appear underappreciated by the market.

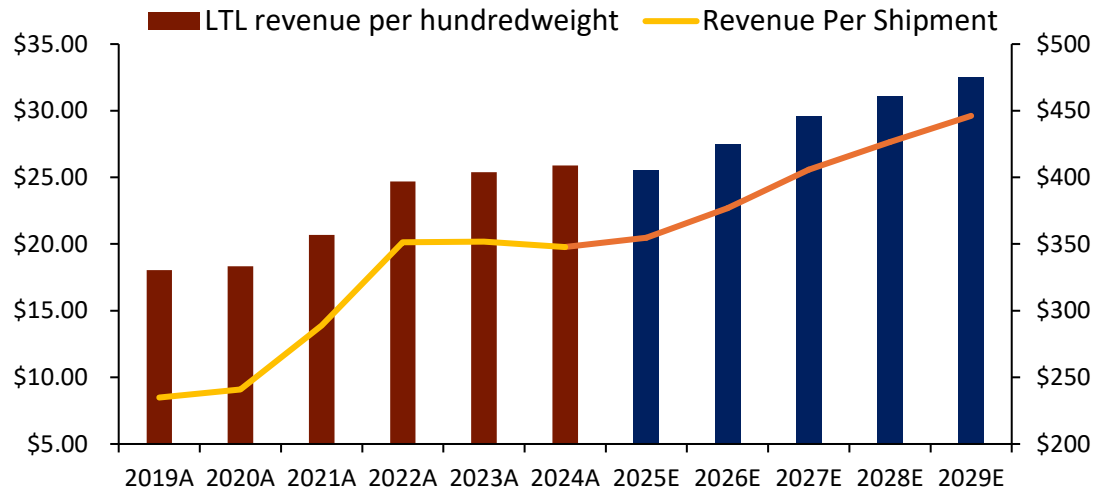
I model a 100 to 150 bps improvement in OR each year over the next five years, with volume recovery beginning in 2027 as strategic investments yield network and scale benefits. CAPEX is expected to normalize but remain somewhat elevated versus historical levels, while IC turns are likely to stay tight in the near term and improve gradually with higher productivity and asset utilization.



Recommendation: Buy
Price Target: \$378
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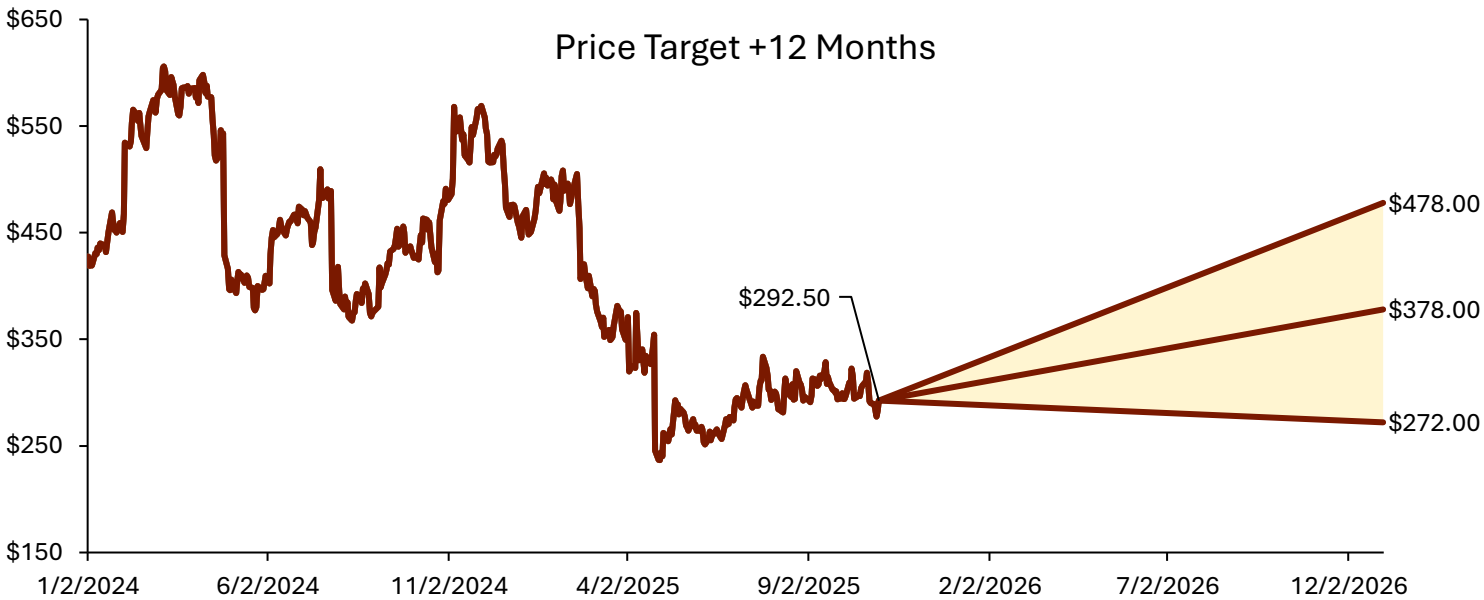




Reversed Case (DCF Share Value = Market Share Price):

Before getting into the nitty-gritty of valuation metrics and the assumptions underlying the growth story, I'd like to present a reverse case to see what's currently factored into the stock price. I do this by tying my DCF-implied share value to the market price of \$282 as of Nov 5, 2025. At this price, the market is effectively pricing in a revenue CAGR of ~6.8% over the next five years (2025–2029), with EBIT margin expansion of ~590 bps from 2025 levels and a ~400 bps improvement in OR from the start of 2025. Growth in tonnage and Rev/CWT remains modest, at CAGRs of 1.8% and 4.8%, respectively.

Estimates (In Millions) Reversed Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimated)	\$3,209	\$3,253	\$3,370	\$3,705	\$4,076	\$4,457
Operating Ratio % (Estimated)	85.0%	89.2%	88.2%	87.2%	86.2%	85.2%
EBIT Margin % (Estimated)	15.2%	11.1%	12.1%	13.2%	14.1%	15.1%
IC Turns EOY (Estimated)	1.23	1.10	1.03	1.06	1.06	1.04
Tonnage (Estimated)	6.04	6.20	5.97	6.16	6.36	6.61
LTL Revenue per Hundredweight (Estimated)	\$25.89	\$25.47	\$27.40	\$29.22	\$31.10	\$32.76
EV / EBITDA	17.79x	12.93x	13.01x	12.33x	11.63x	11.13x



Recommendation: Buy

Price Target: \$378

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NASDAQ: SAIA

November 05, 2025

Base Case (Price Target +12 Month: \$378):

The base case assumes a revenue CAGR of 8.3% and EBIT margin and OR improvement of ~690 bps and ~470 bps, respectively, from Q1-2025 levels. While volumes are expected to remain subdued through 2026, I model a recovery in the broader macro backdrop starting in 2027. Tonnage growth is primarily driven by SAIA's national linehaul network, operating multiple — if not quadruple — lanes across destinations, reflecting improved network density and a rebound in the industrial/manufacturing economy. The primary driver of margin improvement is better management of employee-related costs and claims and insurance expenses, supported by more efficient human capital allocation and package handling. Given the competitive landscape, I model tight yield expansion, as volumes and yields tend to move inversely. Yields are expected to grow at a CAGR of 4.7%, while volumes rise to a CAGR of 3.4% over the next five years. For FY 2026, I expect modest CAPEX in the range of \$400–\$500 million, consistent with historical trends. CAPEX ramps up again in 2027 and beyond as SAIA's expanding footprint increases maintenance requirements and allows for potential additional investment should industry consolidation begin (e.g., if a major entrant like Amazon expands into LTL). I also model a modest debt drawdown from existing facilities, with repayment occurring in subsequent years, and assume potential share repurchases in 2029, depending on free cash flow generation and balance-sheet flexibility.

Estimates (In Millions) Base Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimated)	\$3,209	\$3,263	\$3,437	\$3,865	\$4,313	\$4,779
Operating Ratio % (Estimated)	85.0%	89.2%	88.1%	86.9%	85.7%	84.7%
EBIT Margin % (Estimated)	15.2%	11.4%	12.8%	14.1%	15.1%	16.1%
IC Turns EOY (Estimated)	1.23	1.10	1.05	1.10	1.10	1.09
Tonnage (Estimated)	6.04	6.21	6.07	6.34	6.73	7.14
LTL Revenue per Hundredweight (Estimated)	\$25.89	\$25.52	\$27.48	\$29.58	\$31.09	\$32.52
EV / EBITDA	17.79x	15.25x	14.84x	13.74x	12.81x	12.12x

Bull Case (Price Target +12 Month: \$378):

The aggressive growth scenario, assuming a strong recovery across the trucking oligopoly, projects revenue growth of 11.4% CAGR over the next five years, along with EBIT margin expansion of ~750 bps and OR improvement of ~530 bps from 2025 levels. The bull case assumes a rebound similar to the post-pandemic recovery, leading to efficient utilization of the linehaul network, with multiple or even quadruple lanes running across major routes. This drives higher pricing leverage supported by SAIA's expanded national footprint and continued recognition of service quality among customers paving the way for revenue and margin expansion. Under this scenario, I model tonnage growth at a 5.8% CAGR and Rev/CWT growth at 5.2% CAGR. Similar to the base case, CAPEX remains modest in FY 2026, but ramps up in later years due to higher capacity utilization, increased maintenance needs, and potential industry consolidation amid heightened competition. Finally, the bull case assumes balance-sheet deleveraging and share repurchases in 2028 and 2029, reflecting stronger free cash flow generation and improved capital efficiency.

Estimates (In Millions) Bull Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimated)	\$3,209	\$3,263	\$3,576	\$4,147	\$4,836	\$5,510
Operating Ratio % (Estimated)	85.0%	89.2%	87.8%	86.4%	85.0%	83.7%
EBIT Margin % (Estimated)	15.2%	11.4%	13.0%	14.4%	15.8%	16.7%
IC Turns EOY (Estimated)	1.23	1.10	1.07	1.14	1.23	1.28
Tonnage (Estimated)	6.04	6.21	6.28	6.74	7.39	8.02
LTL Revenue per Hundredweight (Estimated)	\$25.89	\$25.52	\$27.61	\$29.87	\$31.78	\$33.35
EV / EBITDA	17.79x	19.13x	18.09x	16.26x	14.36x	13.24x

Recommendation: Buy

Price Target: \$378

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NASDAQ: SAIA

November 05, 2025

Bear Case (Price Target +12 Month: \$272):

In light of recent volatility in the broader market, the bear case remains a key area of focus. A potential recession and slow recovery would significantly challenge SAIA's recent investments. If management remains overly optimistic and continues aggressive capital spending despite weak demand, the company could face underutilized asset capacity, reduced productivity, and deteriorating IC turns.

In this scenario, revenue growth would remain subdued, driven primarily by modest volume and yield increases amid a sluggish macro backdrop and heightened competition. The five-year revenue CAGR would fall to ~5.5%, with EBIT margin and OR improvement limited to ~540 bps and ~320 bps, respectively, primarily due to headcount reductions rather than operational efficiency gains.

I model volume growth at a 0.8% CAGR and yield growth at 4.6% CAGR over the next five years, with yield expansion driven mostly by inflationary pricing rather than demand strength. Finally, there remains some opportunity to de-lever the balance sheet and return capital to shareholders in 2028 and 2029, provided cash flows hold steady, even if overall business momentum remains soft.

Estimates (In Millions) Reversed Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimated)	\$3,209	\$3,263	\$3,346	\$3,616	\$3,838	\$4,189
Operating Ratio % (Estimated)	85.0%	89.2%	88.3%	87.3%	86.5%	85.5%
EBIT Margin % (Estimated)	15.2%	11.4%	12.1%	13.0%	13.8%	14.5%
IC Turns EOY (Estimated)	1.23	1.10	1.02	1.04	1.03	1.07
Tonnage (Estimated)	6.04	6.21	5.86	5.87	5.99	6.28
LTL Revenue per Hundredweight (Estimated)	\$25.89	\$25.52	\$27.72	\$29.89	\$31.11	\$32.41
EV / EBITDA	17.79x	11.17x	11.47x	11.01x	10.71x	10.14x

Risk:

- SAIA has acquired many of Yellow's terminals and market share, but the long-term stability of this freight is uncertain. Some customers may treat SAIA as a temporary carrier, prioritizing pricing over service quality, which could limit retention and network utilization.
- SAIA expanded workforce, while supporting service reliability, could create margin headwinds if freight volumes fail to scale or customer attrition rises.
- Despite SAIA's strong service quality and national terminal network, pricing power may remain constrained as other LTL carriers engage in price-based competition. The combination of high service costs and industry pricing discipline could prevent SAIA from fully capturing margin upside.
- A potential recession, combined with heightened geopolitical tensions, could suppress industrial activity and lead to a slower industry recovery, delaying the benefits of SAIA's recent investments.
- Should Amazon expand its logistics network to handle more retail and industrial freight, its capital capacity and scale could intensify competition, potentially eroding pricing discipline and pressuring yields across the LTL industry.

Recommendation: Buy

Price Target: \$378

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NASDAQ: SAIA

November 05, 2025

Income Statement:

Base Case																			
SAIA, Inc.																			
Income Statement																			
\$ Millions, fiscal year ending December, 31																			
	2021A	2022A	2023A	2024A	2025E					2026E					2027E	2028E	2029E		
Total Revenue	\$2,289	\$2,792	\$2,881	\$3,209	\$788	\$817	\$840	\$819	\$3,263	\$789	\$854	\$905	\$887	\$3,437	\$3,865	\$4,313	\$4,779		
% Change (Y-O-Y)	25.6%	22.0%	3.2%	11.4%	4.3%	-0.7%	-0.3%	3.8%	1.7%	0.2%	4.6%	7.8%	8.4%	5.3%	12.5%	11.6%	10.8%		
Salaries, Wages and employees' benefits	\$1,064	\$1,170	\$1,301	\$1,488	\$389	\$391	\$401	\$401	\$1,582	\$384	\$414	\$425	\$424	\$1,649	\$1,840	\$2,009	\$2,179		
Purchased transportation	\$250	\$316	\$239	\$237	\$60	\$58	\$59	\$61	\$238	\$58	\$62	\$66	\$65	\$252	\$271	\$300	\$330		
Fuel, operating expenses and supplies	\$382	\$558	\$564	\$629	\$167	\$162	\$166	\$164	\$658	\$156	\$166	\$174	\$169	\$664	\$734	\$819	\$908		
Operating taxes and licenses	\$59	\$64	\$70	\$80	\$20	\$22	\$21	\$20	\$84	\$21	\$22	\$24	\$23	\$89	\$100	\$112	\$124		
Claims and insurance	\$61	\$57	\$68	\$78	\$22	\$23	\$24	\$22	\$90	\$21	\$23	\$24	\$24	\$91	\$100	\$112	\$124		
Depreciation and Amortization	\$142	\$157	\$179	\$210	\$59	\$63	\$64	\$61	\$247	\$63	\$64	\$66	\$68	\$262	\$287	\$320	\$357		
Capitalized Leases	(\$8)	(\$7)	(\$8)	(\$7)	(\$2)	(\$2)	(\$2)	(\$2)	(\$9)	(\$2)	(\$3)	(\$3)	(\$3)	(\$11)	(\$13)	(\$12)	(\$13)		
Other Operating Expenses	(\$4)	\$0	\$1	\$4	\$1	\$0	\$1	\$0	\$2	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0		
Operating Income Adjusted	\$343	\$478	\$469	\$489	\$72	\$102	\$107	\$91	\$371	\$89	\$105	\$129	\$118	\$441	\$545	\$653	\$770		
EBIT Margin %	15.0%	17.1%	16.3%	15.2%	9.2%	12.4%	12.7%	11.1%	11.4%	11.2%	12.3%	14.2%	13.3%	12.8%	14.1%	15.1%	16.1%		
Operating Ratio %	85.5%	83.1%	84.0%	84.8%	91.0%	87.8%	87.5%	89.2%	88.9%	89.1%	88.0%	86.1%	87.0%	87.5%	86.2%	85.1%	84.2%		
Interest Expense	\$11	\$10	\$11	\$16	\$8	\$9	\$7	\$6	\$30	\$6	\$7	\$7	\$7	\$27	\$27	\$16	\$15		
Interest Income	(\$0)	(\$0)	(\$6)	(\$1)	(\$0)	(\$0)	(\$0)	(\$0.0)	(\$0)	(\$0)	(\$0)	(\$0)	(\$0)	(\$0)	(\$0)	(\$0)	(\$0)		
Other, net (Income)	(\$1)	\$0	(\$2)	(\$2)	\$0	(\$1)	(\$1)	(\$1)	(\$1)	(\$0)	(\$0)	(\$0)	(\$0)	\$0	\$0	\$0	\$0		
Income Before Taxes	\$333	\$468	\$466	\$476	\$64	\$94	\$100	\$85	\$343	\$82	\$99	\$122	\$111	\$414	\$518	\$638	\$755		
Income Taxes	\$80	\$111	\$111	\$114	\$14	\$22	\$29	\$20	\$85	\$20	\$24	\$29	\$27	\$99	\$124	\$153	\$181		
Net Income	\$253	\$357	\$355	\$362	\$50	\$71	\$72	\$64	\$257	\$63	\$75	\$93	\$85	\$315	\$394	\$485	\$575		
Preferred Dividends	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0		
Income to Non-Controlling Interest	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0		
Net Income to Common	\$253	\$357	\$355	\$362	\$50	\$71	\$72	\$64	\$257	\$63	\$75	\$93	\$85	\$315	\$394	\$485	\$575		
Extraordinary Items (After-tax)	\$0	\$0	\$0	\$0	\$0	\$0	(\$15)	\$0	(\$15)	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0		
Discontinued Operations (After-tax)	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0		
All-In Net Income to Common	\$253	\$357	\$355	\$362	\$50	\$71	\$86	\$64	\$272	\$63	\$75	\$93	\$85	\$315	\$394	\$485	\$575		
EPS - Basic	\$9.62	\$13.48	\$13.32	\$13.56	\$1.86	\$2.67	\$3.23	\$2.41	\$10.17	\$2.34	\$2.81	\$3.48	\$3.17	\$11.79	\$14.73	\$18.14	\$21.73		
Average Basic Shares	26.32	26.52	26.63	26.70	26.72	26.74	26.75	26.75	26.74	26.75	26.75	26.75	26.75	26.75	26.75	26.75	26.75		
EPS - Diluted	\$9.48	\$13.40	\$13.26	\$13.50	\$1.86	\$2.67	\$3.22	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM		
Adjustments to Earnings for Diluted EPS	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0		
Average Diluted Shares	26.71	26.67	26.76	26.81	26.79	26.79	26.79	26.79	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00		

As a Percentage of Sales																			
Operating Ratio	85.5%	83.1%	84.0%	84.8%	91.0%	87.8%	87.5%	89.2%	88.9%	89.1%	88.0%	86.1%	87.0%	87.5%	86.2%	85.1%	84.2%		
Y/Y Δ bps	(472)	(238)	84	85	667	460	243	245	402	(193)	16	(143)	(217)	(137)	(124)	(110)	(97)		
Salaries, Wages and employees' benefits	46.5%	41.9%	45.2%	46.4%	49.4%	47.8%	47.8%	49.0%	48.5%	48.7%	48.5%	47.0%	47.8%	48.0%	47.6%	46.6%	45.6%		
Y/Y Δ bps	(638)	(459)	327	120	415	263	49	137	213	(72)	65	(77)	(120)	(63)	(35)	(105)	(98)		
Purchased transportation	10.9%	11.3%	8.3%	7.4%	7.6%	7.1%	7.1%	7.5%	7.3%	7.4%	7.3%	7.3%	7.3%	7.3%	7.0%	7.0%	6.9%		
Y/Y Δ bps	315	40	(303)	(89)	64	(35)	(72)	13	(9)	(20)	24	23	(20)	2	(32)	(5)	(5)		
Fuel, operating expenses and supplies	16.7%	20.0%	19.6%	19.6%	21.2%	19.8%	19.7%	20.0%	20.2%	19.7%	19.4%	19.2%	19.0%	19.3%	19.0%	19.0%	19.0%		
Y/Y Δ bps	27	332	(44)	5	45	24	89	55	55	(146)	(38)	(54)	(100)	(85)	(31)	0	0		
Operating taxes and licenses	2.6%	2.3%	2.4%	2.5%	2.6%	2.7%	2.5%	2.5%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%		
Y/Y Δ bps	(51)	(30)	13	8	(2)	30	12	(13)	7	1	(9)	11	10	3	0	0	0		
Claims and insurance	2.7%	2.0%	2.4%	2.4%	2.7%	2.8%	2.8%	2.7%	2.8%	2.7%	2.7%	2.7%	2.7%	2.7%	2.6%	2.6%	2.6%		
Y/Y Δ bps	(5)	(65)	33	8	42	51	52	(10)	34	(9)	(14)	(16)	(5)	(11)	(5)	0	0		
Depreciation and Amortization	6.2%	5.6%	6.2%	6.5%	7.5%	7.7%	7.6%	7.5%	7.6%	8.0%	7.5%	7.3%	7.7%	7.6%	7.4%	7.4%	7.5%		
Y/Y Δ bps	(120)	(58)	58	34	102	127	114	63	102	53	(11)	(31)	18	6	(20)	(1)	8		
Other Operating Expenses	-0.2%	0.0%	0.0%	0.1%	0.1%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%		
Y/Y Δ bps	(3)	17	3	11	5	(5)	4	(41)	(9)	(8)	(0)	(11)	0	(5)	0	0	0		
Operating Income	15.0%	17.1%	16.3%	15.2%	9.2%	12.4%	12.7%	11.1%	11.4%	11.2%	12.3%	14.2%	13.3%	12.8%	14.1%	15.1%	16.1%		
Y/Y Δ bps	470	214	(85)	(103)	(668)	(451)	(238)	(199)	(387)	205	(12)	153	224	145	126	106	96		
Interest Expense	0.5%	0.4%	0.4%	0.5%	1.0%	1.0%	0.8%	0.7%	0.9%	0.8%	0.8%	0.7%	0.8%	0.8%	0.7%	0.4%	0.3%		
Interest Income	0.0%	0.0%	-0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%		
Other, net (Income)	0.0%	0.0%	-0.1%	-0.1%	0.0%	-0.1%	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%		
Net Income	14.5%	16.8%	16.2%	14.8%	8.1%	11.5%	11.9%	10.3%	10.5%	10.4%	11.5%	13.5%	12.5%	12.1%	13.4%	14.8%	15.8%		

Base Case																	
SAIA, Inc.																	
Balance Sheet																	
\$ Millions, fiscal year ending December, 31																	
	2025E										2026E						
	2021A	2022A	2023A	2024A	Q1	Q2	Q3	Q4	2025	Q1	Q2	Q3	Q4	2026	2027	2028	2029
Total Revenue	\$2,289	\$2,792	\$2,881	\$3,209	\$788	\$817	\$840	\$819	\$3,263	\$789	\$854	\$905	\$887	\$3,437	\$3,865	\$4,313	\$4,779
Operating Growth %	25.6%	22.0%	3.2%	11.4%	4.3%	-0.7%	-0.3%	3.8%	1.7%	0.2%	4.6%	7.8%	8.4%	5.3%	12.5%	11.6%	10.6%
Revenue	\$2,234	\$2,704	\$2,814	\$3,126	\$772	\$795	\$815	\$789	\$3,170	\$773	\$831	\$878	\$855	\$3,338	\$3,754	\$4,188	\$4,641
Other Revenue	\$55	\$88	\$68	\$83	\$16	\$22	\$25	\$30	\$94	\$16	\$23	\$27	\$33	\$99	\$111	\$124	\$137
Operating Ratio	85.4%	83.1%	84.0%	85.0%	91.1%	87.8%	87.6%	90.1%	89.2%	89.5%	88.6%	86.6%	87.5%	88.1%	86.9%	85.7%	84.7%
LTL Tonnage (In Millions)	5.40	5.47	5.54	6.04	1.55	1.58	1.58	1.51	6.21	1.44	1.53	1.58	1.52	6.07	6.34	6.73	7.14
LTL Yield per CWT	\$20.68	\$24.70	\$25.38	\$25.89	\$24.97	\$25.21	\$25.76	\$26.12	\$25.52	\$26.84	\$27.09	\$27.19	\$28.18	\$27.48	\$29.58	\$31.09	\$32.52
LTL Yield Ex Fuel Surcharge	\$17.70	\$19.86	\$20.86	\$21.90	\$21.12	\$21.33	\$21.72	\$22.05	\$21.55	\$22.82	\$23.16	\$23.62	\$24.10	\$23.42	\$25.18	\$26.47	(\$25.38)
Fuel Surcharge Revenue (Implied)	\$2.98	\$4.84	\$4.52	\$3.99	\$3.85	\$3.88	\$4.04	\$4.07	\$3.96	\$4.03	\$3.93	\$4.17	\$4.09	\$4.05	\$4.40	\$4.62	\$4.83
LTL Shipments (In Millions)	7.73	7.70	8.00	8.99	2.17	2.20	2.33	2.24	8.94	2.05	2.16	2.34	2.31	8.86	9.25	9.82	10.41
LTL Revenue per Shipment	\$289	\$351	\$352	\$348	\$356	\$362	\$349	\$363	\$355	\$376	\$385	\$376	\$370	\$377	\$406	\$427	\$446

Price Target: \$378

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NASDAQ: SAIA

November 05, 2025

Balance Sheet & Cash Flow Statement:

[illegible]

Balance Sheet Drivers / Metrics - Annualizing quarterly numbers

Cost of Goods Sold (Estimated)	\$1,757	\$2,100	\$2,172	\$2,432	\$637	\$633	\$650	\$648	\$2,569	\$619	\$665	\$689	\$681	\$2,655	\$2,945	\$3,240	\$3,541
Average Receivables Period (Days)	39.4x	37.1x	38.1x	36.1x	39.1x	38.9x	38.6x	40.1x	37.9x	41.1x	40.0x	41.1x	43.0x	40.8x	38.3x	36.2x	39.1x
Prepaid expenses / Revenue	1.4%	0.8%	1.1%	1.1%	1.8%	1.6%	1.0%	1.1%	1.1%	1.4%	1.5%	1.6%	1.4%	1.4%	1.5%	1.7%	1.6%
Income tax receivable & Other Current Assets / Revenue	0.0%	0.1%	0.3%	1.8%	1.5%	0.1%	1.8%	1.9%	1.9%	2.0%	2.0%	1.9%	2.0%	2.1%	2.1%	2.1%	2.2%
Total Current Assets / Revenue	18.2x	19.0%	22.5%	13.8%	14.9%	13.2%	14.8%	14.0%	14.1%	15.7%	16.1%	16.6%	16.4%	16.9%	16.2%	16.2%	17.2%
Average Payable Period (Days)	21.1x	18.6x	20.3x	19.2x	19.3x	24.1x	20.5x	17.4x	17.7x	20.1x	19.4x	20.1x	18.4x	17.2x	17.8x	18.8x	18.6x
Wages, vacation and employees' benefits / Revenue	3.2%	2.4%	2.6%	1.6%	1.8%	2.5%	2.2%	2.1%	2.1%	2.1%	2.1%	2.1%	2.1%	2.2%	2.2%	2.0%	2.0%
Claims and insurance accruals & Other current liabilities / Revenue	4.1%	2.4%	2.4%	2.5%	2.6%	1.2%	2.5%	2.4%	2.4%	2.4%	2.4%	2.4%	2.1%	2.2%	2.2%	2.7%	2.0%
Total Current Liabilities / Revenue	13.1%	8.9%	10.3%	7.8%	9.5%	9.3%	8.0%	8.7%	8.7%	8.9%	8.8%	8.9%	7.5%	7.7%	8.8%	8.4%	8.1%
Other Asset, Net																	
Change in Goodwill and Identifiable Intangibles, net	(\$1)	(\$1)	(\$1)	(\$1)	(\$0)	(\$0)	(\$0)	(\$0)	(\$1)	(\$0)	(\$0)	(\$0)	(\$0)	(\$1)	(\$1)	(\$1)	(\$1)
Other Noncurrent Assets / Revenue	0.9%	0.8%	1.2%	1.0%	1.0%	0.9%	1.1%	1.2%	1.2%	1.2%	1.2%	1.2%	1.0%	1.0%	1.6%	1.7%	1.6%
Deferred income taxes & Claims, insurance and other / Revenue	8.0%	7.4%	7.5%	8.9%	9.2%	5.2%	10.7%	9.6%	9.6%	9.4%	9.2%	8.4%	7.6%	7.9%	6.0%	4.5%	3.0%
Operating Lease Asset / Revenue	4.7%	4.3%	4.1%	4.0%	4.0%	4.5%	4.1%	4.6%	4.6%	5.0%	4.6%	5.0%	5.0%	5.2%	5.0%	4.1%	4.0%
Operating Lease Asset / Lease Liability	98.0%	97.5%	97.1%	102.1%	101.7%	102.0%	107.5%	107.5%	107.5%	107.0%	103.2%	101.7%	101.7%	101.7%	98.0%	98.0%	98.0%

[illegible]

Recommendation: Buy

Price Target: \$378

Mihir Patel 

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NASDAQ: SAIA

November 05, 2025

WACC, Capital Structure & FCF:

Base Case									
SAIA, Inc.									
WACC & Capital Structure									
\$ Millions, fiscal year ending December, 31									
	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Capital Structure Values									
Market Share Price	\$337	\$209	\$428	\$456	\$293				
Shares Outstanding on Balance Sheet Date	26.24	26.39	26.48	26.63	26.64				
Market Capitalization	\$8,844	\$5,506	\$11,320	\$12,135	\$7,793				
Debt Value	\$160	\$155	\$139	\$324	\$371	\$404	\$318	\$203	\$215
Preferred Stock	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Marketable Securities & Cash and cash equivalents Value	\$107	\$187	\$296	\$19	\$6	\$48	\$92	\$81	\$72
Other Non-Operating Asset Value	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Enterprise Value (Based on Market Value)	\$8,898	\$5,473	\$11,163	\$12,440	\$8,158				
DCF Share Value					\$340	\$378	\$420	\$463	\$507
Shares Outstanding					26.64	26.64	26.64	26.64	26.64
Enterprise Value Based on DCF					\$9,429	\$10,428	\$11,423	\$12,469	\$13,658
Actual and Estimated Capital Structure					Estimated				
Debt Value to Enterprise Value (Based on Market Value)	1.8%	2.8%	1.2%	2.6%	3.9%	3.9%	2.8%	1.6%	1.6%
Preferred Stock & Non-Controlling Interest Value to Enterprise Value	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Mkt Securities Value to Enterprise Value (Based on Market Value)	-1.2%	-3.4%	-2.7%	-0.2%	-0.1%	-0.5%	-0.8%	-0.7%	-0.5%
Other Non-Operating Asset Value to Enterprise Value (Based on Market Value)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
DCF Shareholders Value to Enterprise Value (Based on Market Value)	99.4%	100.6%	101.4%	97.5%	96.1%	96.6%	98.0%	99.0%	99.0%
Sum of Capital Structure Weights	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Capital									
Cost of Debt (Pre-Tax)	4.4%	4.8%	5.1%	5.6%	5.6%	5.6%	5.6%	5.6%	5.6%
Cost of Preferred Stock	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Cost of Equity	7.3%	9.8%	9.7%	10.5%	10.0%	11.1%	11.1%	10.2%	10.3%
Risk Free Rate (Treasury Constant Maturity - 10 Year)	1.5%	3.9%	3.9%	4.6%	4.1%	4.1%	3.8%	2.8%	2.8%
Market Beta (5-Year, Monthly)	1.21	1.30	1.37	1.53	1.53	1.53	1.53	1.53	1.53
Risk Premium	4.8%	4.6%	4.3%	3.9%	3.9%	4.6%	4.8%	4.9%	4.9%
Rate on Mkt Securities (Pre-Tax)	0.1%	4.3%	5.2%	4.3%	4.3%	4.3%	4.0%	3.8%	3.4%
Rate on Non-Operating Assets (Pre-Tax)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Marginal Tax Rate	24.4%	24.2%	24.3%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%
Enterprise WACC	7.3%	9.8%	9.8%	10.3%	9.8%	10.9%	11.0%	10.2%	10.3%
Base Case									
SAIA, Inc.									
Intrinsic Value									
\$ Millions, fiscal year ending December, 31									
					2025E	2026E	2027E	2028E	2029E
Revenue					\$3,263	\$3,437	\$3,865	\$4,313	\$4,779
EBIT					\$371	\$441	\$545	\$653	\$770
NOPAT					\$282	\$335	\$414	\$497	\$585
Total Capital Invested					\$2,956	\$3,263	\$3,525	\$3,907	\$4,399
Change In Invested Capital					\$339	\$308	\$262	\$381	\$492
Share Based Compensation									
Free Cash Flow (Unlevered)					(\$57)	\$28	\$152	\$115	\$94
Cost of Capital					9.8%	10.9%	11.0%	10.2%	10.3%
Enterprise Value					\$9,429	\$10,428	\$11,423	\$12,469	\$13,658
Marketable Securities & Cash and cash equivalents					\$6	\$48	\$92	\$81	\$72
Other Non-Operating Assets									
Firm Value					\$9,435	\$10,476	\$11,515	\$12,551	\$13,730
Debt Value					\$371	\$404	\$318	\$203	\$215
Preferred Value					\$0	\$0	\$0	\$0	\$0
Other Non-Equity Value					\$0	\$0	\$0	\$0	\$0
Shareholders Value					\$9,063	\$10,072	\$11,197	\$12,347	\$13,515
Ending Common Shares					26.64	26.64	26.64	26.64	26.64
DCF Share Value					\$340	\$378	\$420	\$463	\$507
Value Drivers									
Revenue Growth %					1.7%	5.3%	12.5%	11.6%	10.8%
EBIT Margin %					11.4%	12.8%	14.1%	15.1%	16.1%
EBIT Tax Rate %					24.0%	24.0%	24.0%	24.0%	24.0%
IC Turns (EOY)					1.0	1.0	1.0	1.0	1.0
Share Based Compensation / Revenue (%)					0.0%	0.0%	0.0%	0.0%	0.0%

Recommendation: Buy
Price Target: \$378
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NASDAQ: SAIA
November 05, 2025

Base Case					
SAIA, Inc.					
Intrinsic Value					
\$ Millions, fiscal year ending December, 31					
	2025E	2026E	2027E	2028E	2029E
Ratios					
EV / EBITDA	15.25x	14.84x	13.74x	12.81x	12.12x
EV / EBITDA Fwd	13.41x	12.54x	11.74x	11.06x	10.76x
P / E	33.33x	31.94x	28.43x	25.45x	23.52x
P / E Fwd	28.74x	25.57x	23.08x	21.49x	
PEG	3.44x				